VIOLA CREDIT

QUARTERLY MANAGEMENT REPORT
AS OF SEPTEMBER 30TH

2024

Viola Credit Alternative Lending Income Fund III

VIOLA CREDIT ALF III (B)

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DEAR VIOLA CREDIT INVESTOR,

We are excited to share the quarterly report for the Viola Credit Alternative Lending Income Fund III (ALF III B) , covering the period up to September 30, 2024 (Q3). During the period, ALF III (B) distributed a net coupon yield of 3.5% for the quarter. As of September 30, 2024, 25% of the capital has been drawn and deployed across 9 transactions with 3 additional transactions post term sheet and in legal/ advanced diligence stage. As of December 1st, 2024, 45% of LP capital has been drawn.

During this quarter, we officially announced our joint venture with Cadma Capital Partners, an affiliate of Apollo Global Management, Inc., which specializes in financing solutions for high-growth technology companies and their investment sponsors. This joint venture has a financing capacity of $500M and will invest alongside the flagship fund.

During the quarter we closed three additional transactions: Oatfi, Finmid, and Prospa. These recent additions encompass three lucrative FinTech platforms, including a transaction with one existing portfolio company. The transactions are distributed across the United States, Germany, and New Zealand as senior secured warehouse lines. These transactions continue to strengthen the foundation of the ALF III portfolio and diversify it across geographies and asset classes. The portfolio currently comprises 9 companies. For detailed insights into these transactions, please refer to slides 8-14 in the report.

The Fund's active pipeline currently contains 33 potential portfolio companies, with a pipeline value of $1.4 billion across various geographies and asset classes. During the last quarter, our investment team reviewed 63 new transactions with a total volume of $3.4 billion. This robust deal flow ensures a highly selective investment approval process, mirroring the trend from the last quarter. Our deal flow activity was weighted towards growth and mature-stage transactions, with an average opportunity size of $55 million, primarily across the United States (38%), Western Europe (31%), and Australia & New Zealand (12.7%). Since the fund's inception, the total number of opportunities reviewed by the investment team was 195, with an overall transaction volume of $7 billion. We are also seeing a rebound in public and private Fintech valuations with up-rounds across our portfolio companies as well.

In the FinTech market, global FinTech companies successfully raised $7.3 billion in equity funding. The majority of this investments, 68% amounting to $5 billion, was concentrated in the United States and Western Europe. The period saw 290 funding rounds, with early-stage companies receiving just over half of these investments, and mid-stage companies securing 23% of investors money.

In Q3 2024, central banks in key developed markets reduced interest rates in response to easing inflationary pressures. The Federal Reserve lowered its rate to 5.0%, marking the end of a series of hikes aimed at stabilizing the economy, thereby reinforcing confidence in managing inflation and ensuring labor market stability amid emerging economic uncertainties. Inflation rates fell across the EU, UK, Australia, and the U.S., signaling a wider trend towards price stabilization despite potential challenges such as rising energy costs and supply chain disruptions. Additionally, the labor markets, which had been resilient and stable, began to show early signs of softening, with modest increases in unemployment rates that may pose risks to future economic recovery efforts..

For any inquiries, please reach: investors@violacredit.com

Sincerely,

Viola Credit Management Team

Q3 2024 DEAL FLOW SUMMARY

In Q3 2024, the fund investment team evaluated 63 asset-based lending (ABL) opportunities, with a combined transaction volume of $3.4 billion, showcasing strong deal activity across the FinTech landscape. Since the beginning of the year, the investment team has reviewed 195 opportunities to date, representing a potential transaction volume of $7 billion. This underscores our disciplined and selective approach, with 9 active transactions and an additional $1.4 billion in the pipeline across various transaction stages. Our current pipeline includes 33 companies, with 5 nearing mature stages, positioning us well for sustained growth in the upcoming quarters.

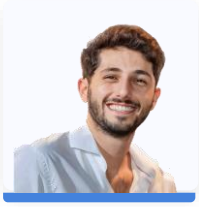
Q3 '24	63 Opportunities Evaluated	$3.4B Transaction Volume
Since Inception 01.01.2024	195 Opportunities Evaluated	$7B Transaction volume
Portfolio	9 Active Platforms	9 Active Transactions

TEAM UPDATE

In Q3 2024, our fund grew to over 30 employees with the addition of three strategic hires, enhancing our investment, deal flow, and technology and data teams. Michael Chen has joined as the Head of U.S. Investments, bringing his extensive experience in structured finance, capital markets, and alternative credit investment management to lead our U.S. operations. Shaun Zamir, our new Deal Flow Analyst, will support the investment team by identifying premier companies and analyzing market trends within our targeted regions. Maya Ben Zvi has come on board as a Product Manager in our Tech and Data team, tasked with advancing our technological infrastructure

Michael Chen
Head of U.S. Investements

Maya Ben Zvi
Product & Ops

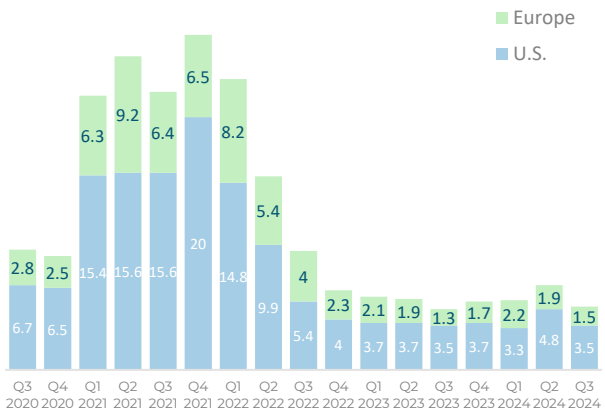


Shaun Zamir
Deal Flow Analyst

Q3 2024 FINTECH MARKET OVERVIEW

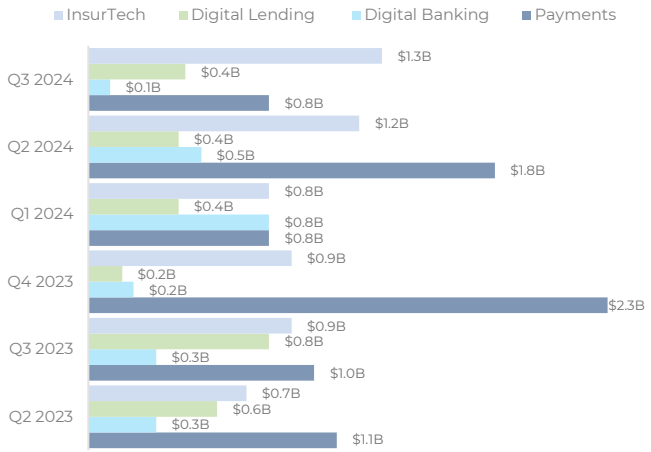
In Q3 2024, Funding activity remains concentrated in Europe and the U.S. taking up 68% percent of global funding. Total funding reached $7.3 billion globally, with deal activity holding steady, signaling ongoing investor confidence in high-potential opportunities. This stability, combined with an increased focus on quality, demonstrates a shift towards sustaining growth in established fintech ventures, particularly in digital lending.

FinTech Venture Investment by Geo ($B)



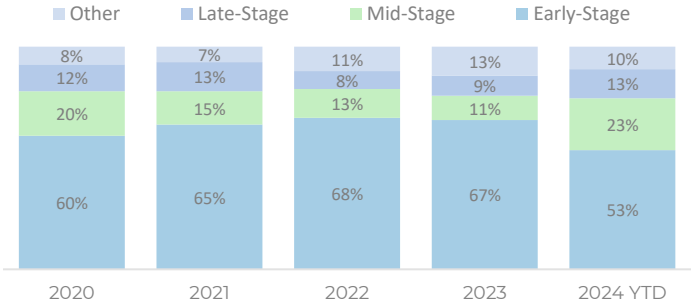
Compared to previous quarters, Q3 data highlights a strategic reallocation toward Payments and Digital Lending, with Digital Banking experiencing a notable decrease from its Q4 2023 peak of $2.3 billion. These shifts underscore investors' preference for sectors demonstrating resilience and growth potential, supporting a more cautious yet targeted investment strategy in the fintech landscape.

Investments by Verticals in Europe and U.S.



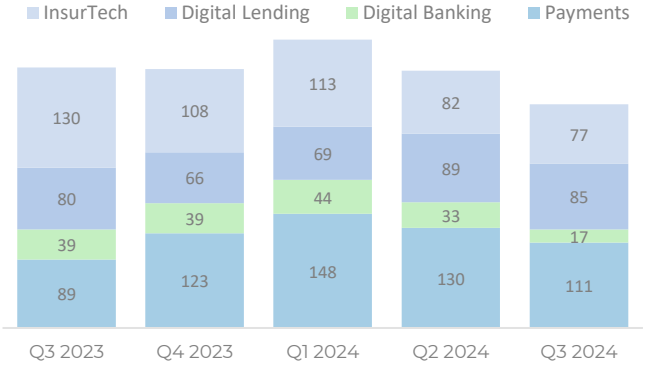
Investors are shifting their funding stages, signaling evolving opportunities across funding stages. Early-stage funding, has decreased from previous highs, reflecting a more selective approach by investors towards new entrants. Notably, mid-stage funding has risen to 23%, signaling support for scaling companies with proven traction and market potential

Digital Lending Funding Rounds lending by Stage



There were 290 rounds in Q3 2024. The overall number of funding rounds across fintech verticals showed varied trends, with a notable dip in Digital Banking, indicating less focus on this sector this quarter. In contrast, Payments, Digital Lending, and InsurTech maintained steady activity. The slight decline in funding amounts across these sectors contrasts with the steadiness in funding rounds, suggesting an industry trend toward smaller, more strategically allocated rounds.

Amount of Funding Rounds by Verticals



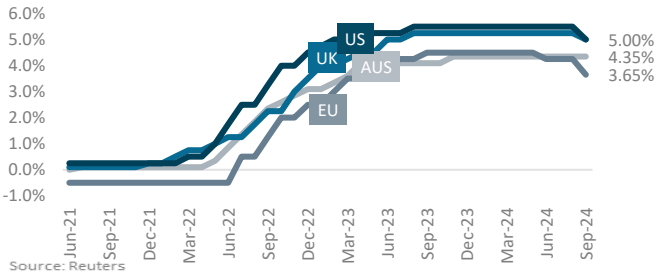
Over the past quarter the fintech sector demonstrated a refined focus on strategic growth, with investments increasingly directed toward mature and high-potential segments. Payments consolidation, AI advancements, and scalable B2B solutions remain central to this evolving landscape. While funding volumes and deal counts fluctuate, the sector's resilience is evident as it adapts to shifting economic conditions. Fintech players are focusing on sustainable growth.

Sources: Viola Credit Data, CB Insight State of Fintech Q3 2024, FT Partners Q3 Report

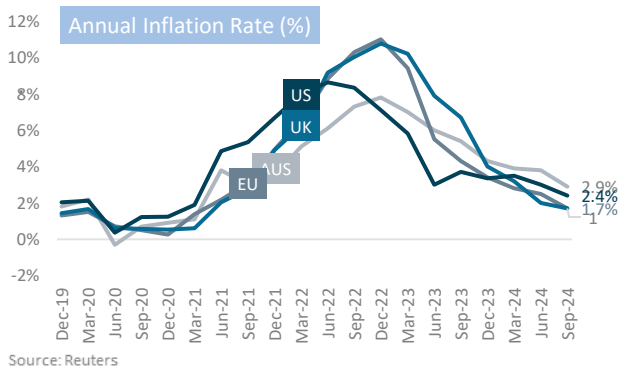
ECONOMICAL ENVIRONMENT

In Q3 2024, after months of anticipation, major central banks in developed markets began reducing interest rates as inflationary pressures eased. The Federal Reserve lowered its rate to 5.0% following 11 consecutive hikes over the past two years. Similarly, the ECB cut its rate to 3.65%, and the Bank of England adjusted its rate to 5%, signaling increased confidence in controlling inflation. These policy shifts mark a pivotal transition after two years of tight monetary policy, aiming to moderate economic activity and set the stage for recovery and growth in 2025.

Central Banks Benchmark Rates



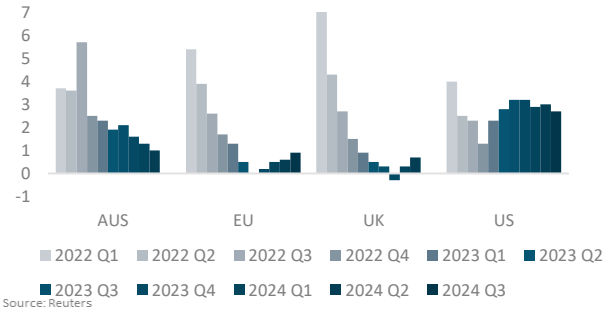
Inflation continued to ease in Q3, with most economies showing steady recovery. From the double-digit peaks of 2022, inflation in the EU and UK fell below 2%, while Australia's rate dropped to 2.9%, and the U.S. to 2.4%. These declines reflect a broader trend of price stabilization. However, inflationary pressures remain a concern, driven primarily by rising energy costs and global supply chain disruptions that increase production expenses. Additionally, geopolitical tensions and trade uncertainties add to the risks, highlighting the complexities of managing inflation in an interconnected global economy.



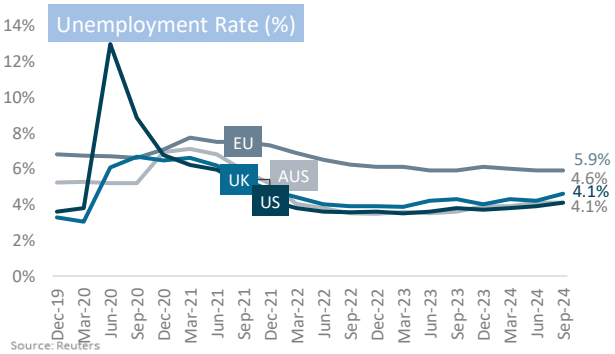
As inflation is easing, GDP growth rates also demonstrate recovery patterns. The United States ended Q3 with a 2.7% annual growth rate, underscoring its robust economic momentum, while the EU recorded a modest increase of 0.9%, indicating steadier but slower growth among its member states. Although Q3 annual data for Australia and the UK in 2024 have not yet been disclosed, recent trends suggest these economies are also experiencing more restrained growth.

The trends of cooling inflation, easing interest rates, and GDP growth all signal a potential soft landing for the global economy, alleviating concerns over potential recession. However, the monetary authorities remain cautious in their actions and are assessing the effects of the monetary expansion

Annual GDP Rate since 2022



Over the past two years, resilient labor markets have been essential in supporting consumer spending and economic confidence, but signs of weakening are emerging in several key economies. In the UK, the unemployment rate rose to 4.4% by mid-2024, with declining job vacancies and rising economic inactivity. Australia faces a similar trend, with corporate retrenchments on the rise as companies struggle with high operating costs. This shift is expected to push Australia's unemployment rate to around 5%, impacting economic growth. In the U.S., the unemployment rate increased to 4.2% by August 2024, playing a role in the the Federal Reserve decision to cut interest rates to mitigate economic concerns.



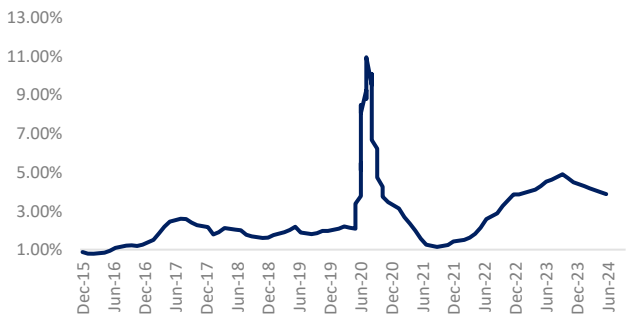
Looking ahead, growth in developed markets is likely to stay moderate as central banks, while cautiously lowering interest rates, work to balance inflation control with economic stability. Interest rate reductions are aimed at supporting growth without reigniting inflation, and policymakers are expected to prioritize stability by adjusting measures gradually to encourage spending and limit unemployment, sustaining the recovery while keeping inflation near target levels.

Viola Credit focuses on credit investments secured by short-duration, self-amortizing assets. This strategic has traditionally provided resilience during economic downturns, offering a layer of protection against market volatility.

ALTERNATIVE LENDING MARKET

In Q3 2024, the Alternative Consumer Credit market continued to gain positive traction, with impairment rates decreasing further. This decline points to a potential recovery in the consumer credit sector, driven largely by stricter underwriting standards and a controlled volume of credit issuance over recent years, which have collectively improved credit quality and managed risk.

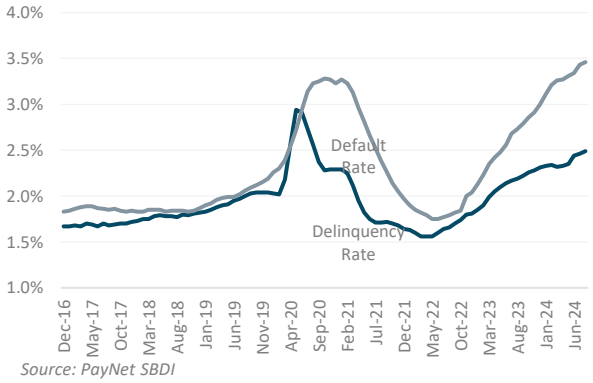
Alternative Consumer Credit Impairment Rate (%)



Source: DV01

Despite the positive trends in consumer credit, the alternative SMB credit landscape in the U.S. has faced challenges throughout 2024. By Q3, the delinquency rate has gradually risen to about 2.5%, while the default rate has climbed to 3.5%, surpassing its previous high during the peak of the COVID-19 crisis in 2020.

Alternative SMB Credit Delinquency Rate in US



Source: PayNet SBDI

The gap between consumer and SMB credit performance can be explained by stronger demand and lower risk exposure within consumer credit, along with mostly stable labor market and lower sensitivity to interest rates. In contrast, SMBs are under higher economic pressures and operational challenges, which contribute to rising rates of defaults and delinquencies.

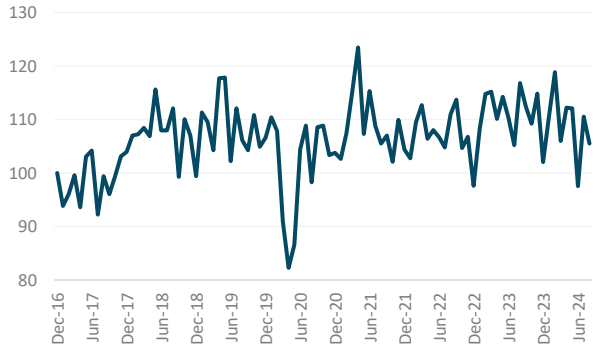
Reflecting ongoing improvement, Alternative Consumer Lending Volume continued to rise steadily in Q3 2024. This consistent growth signals a possible recovery and renewed confidence in the consumer lending market. Compared to the end of 2023, when volumes were largely stagnant, the recent increase suggests the market is gaining traction. This positive trend could indicate a more stable and optimistic outlook for the rest of the year, pointing to sustained momentum in consumer lending

Alternative Consumer Lending Volume (100=Feb-20)

Source: DV01

In contrast, the SMB credit market, which has seen rising delinquency and default rates, displayed some shifts in Lending Volume throughout 2024. The data shows fluctuations in lending activity over the year. By September 2024, lending volume had decreased again, indicating a possible contraction in SMB lending activity.

Alternative SMB Lending Volume (Dec-2016=100)



Source: PayNet SBLI

Amid shifting credit conditions, the present market offers a pivotal opportunity for specialized lenders with strong risk management expertise. Our fund is leveraging this environment to support top-tier platforms with our focused expertise.

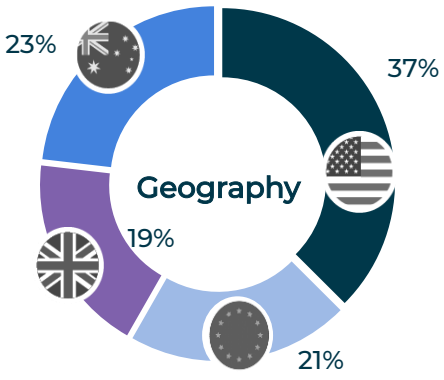
ACTIVE TRANSACTIONS

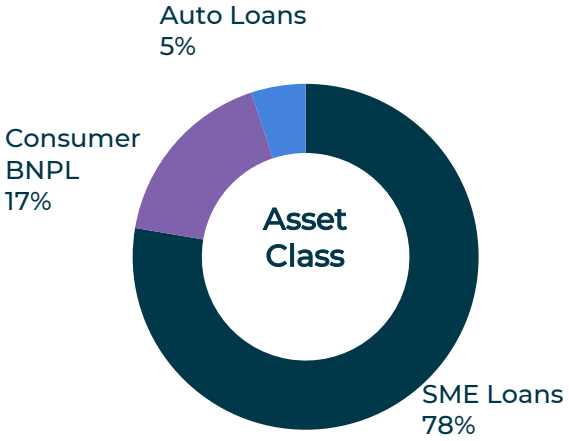
	Company	Type	Asset Class	Status	Amount*	Interest**	Warrants
1	Payzen	Senior	Healthcare Receivables	Active	$75M	S + 6.5%	Yes
2	Two	Senior	B2B Payments	Active	€30M	E + 7.7%	Yes
3	Lendbuzz	Forward Flow	Consumer Auto	Active	$200M	i-curve + 5.25%	No
4	Hokodo	Senior	B2B Payments	Active	€25M	E / SO + 7.75%	No
5	Funding Circle	Forward Flow	SME Loans	Active	£50M	SO + 5.75%	No
6	Viably	Senior	SME RBF	Active	$10M	S + 9.5%	Yes
7	Oatfi	Senior	B2B Payments	Active	$25M	S + 8.75%	Yes
8	Finmid	Senior	B2B Payments	Active	€30M	E + 8.5%	Yes
9	Prospa	Senior	SME Loans	Active	N$156M	B + 6.75%	No

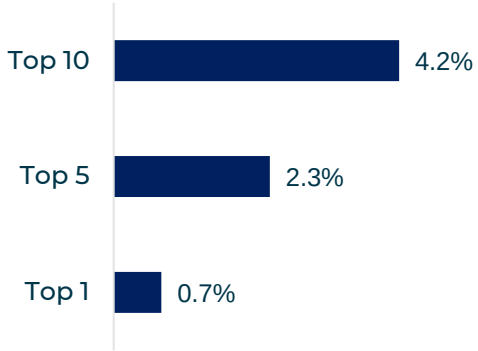
* Transactions allocated among ALF III funds
** SO=SONIA, S=SOFR, E=ESTR, B=BKBM

COLLATERAL OVERVIEW (ASSET LEVEL)

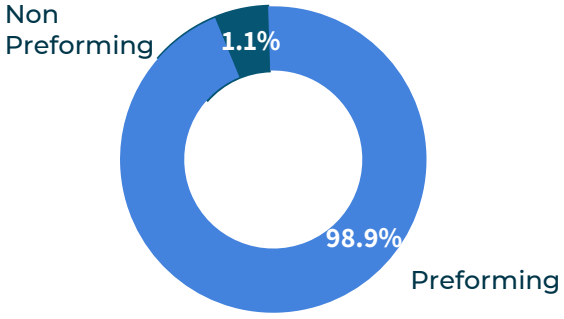
# of Transactions	9
# of Loans	161,258
Average Loan	$12.3K
Average Term	8.3 months
Average Interest	25%







CREDIT PERFORMANCE



As of Sep 30th ,2024

NEW TRANSACTIONS

Oatfi is a US-based FinTech embedded lender that offers account receivables, and account payables financing solutions to SMEs through B2B platforms.

$25M senior secured ABL credit facility to finance B2B payments receivables across the US

Transaction Details

Collateral/ Assets	B2B BNPL Receivables
Geography	United States
Type	Senor Secured Warehouse Line
Amount	25M USD
Capacity Rights	Up to 100M EUR
Advance Rate	85.%
Interest Rate	SOFR + 8.75%
Facility Term	24 months
Warrants	Yes

Finmid is a Berlin-based embedded lender that enables B2B platforms in Europe to provide working capital financing solutions

€30M senior secured ABL credit facility to finance B2B BNPL and Capital receivables across Western Europe

Transaction Details

Collateral/ Assets	B2B BNPL Receivables
Geography	Germany
Type	Senor Secured Warehouse Line
Amount	30M EUR
Capacity Rights	Up to 150M EUR
Advance Rate	87.5%
Interest Rate	ESTR + 8.5%
Facility Term	24 months
Warrants	Yes

NEW TRANSACTIONS

Prospa

Prospa is a mature FinTech platform that is the largest digital SME lender in Australia with a growing business in New Zealand

N$156M senior secured ABL credit facility to finance SME receivables in New Zealand

Transaction Details

Collateral/ Assets	SME Loans
Geography	New Zealand
Type	Senor Secured Warehouse Line
Amount	156M NZD
Advance Rate	90%
Interest Rate	BKBM + 6.75%
Facility Term	36 months
Warrants	No

ACTIVE TRANSACTIONS

PayZen | **PayZen is a growth stage FinTech platform that allows healthcare institutions to provide interest free installment plans for unpaid medical bills**

$75M senior secured ABL credit facility to finance a granular portfolio of consumer healthcare installment plans in the U.S.

Transaction Details	
Collateral/ Assets	Consumer Healthcare Installment Plans
Geography	United States
Type	Senor Secured Warehouse Line
Amount	75M USD
Capacity Rights	Up to 200M USD
Advance Rate	90-95%
Interest Rate	SOFR + 6.5%
Facility Term	36 months
Warrants	Yes

two. | **Two is a growth stage FinTech platform, offering B2B payments solutions across UK, Norway and Sweden**

€30M senior secured ABL credit facility to finance short duration B2B trade financing receivables across Western Europe

Transaction Details	
Collateral/ Assets	B2B Factored Invoices
Geography	UK, Norway and Sweden
Type	Senor Secured Warehouse Line
Amount	30M EUR
Capacity Rights	Up to 250M EUR
Advance Rate	85%
Interest Rate	ESTR + 7.7%
Facility Term	36 months
Warrants	Yes

ACTIVE TRANSACTIONS

Viably is an early-stage end-to-end banking platform that provides business management tools and working capital solutions to e-commerce merchants

$10M senior secured ABL credit facility to fund e-commerce growth through revenue-based financing advances

Transaction Details	
Collateral/ Assets	SME Loans
Geography	United States
Type	Senor Secured Warehouse Line
Amount	10M USD
Capacity Rights	Up to 100M USD
Advance Rate	85%
Interest Rate	SOFR + 9.50%
Facility Term	24 months
Warrants	Yes

Hokodo is a B2B BNPL provider that offers a full-stack payments and net terms financing solutions for business buyers

€25M senior secured ABL credit facility to finance B2B BNPL receivables across Western Europe

Transaction Details	
Collateral/ Assets	B2B BNPL Receivables
Geography	Western Europe
Type	Senor Secured Warehouse Line
Amount	25M EUR
Capacity Rights	Up to 100M EUR
Advance Rate	92.5%
Interest Rate	ESTR/ SONIA + 7.75%
Facility Term	24 months
Warrants	No

ACTIVE TRANSACTIONS

Lendbuzz is an AI-based FinTech lender, offering secured auto financing to thin-file borrowers—a lucrative underserved population ignored by the traditional U.S. credit system.

$200M Forward Flow Program to finance secured auto loans to "thin-file" borrowers in the U.S

Transaction Details

Assets / Collateral	Secured Auto Loans
Geography	United States
Type	Forward Flow
Flow Amount	$200M
Type	Forward Flow
Currency	USD ("$")
Unlevered Net Yield	i-curve + 5.25%
Revolving Period	12 months
Warrants	No

Funding Circle (LON:FCH) is UK's leading SME lending platform and is publicly traded on the London Stock Exchange

£50M Forward Flow Program to finance SME Loans in the United Kingdom

Transaction Details

Assets / Collateral	SME Loans
Geography	U.K
Type	Forward Flow
Flow Amount	50M GBP
Type	Forward Flow
Currency	GBP ("£")
Unlevered Net Yield	SONIA + 5.75%
Revolving Period	12 months
Warrants	No

CAPITAL CALLS

	Due date	Sum in $	Percentage	Accumulated sum in $	Accumulated percentage
1	April 2024	9,594,905	15.00%	9,594,905	15.00%
2	August 2024	8,164,189	Catch-up	17,759,094	15.00%
3	September 2024	11,839,396	10.00%	29,598,490	25.00%

CAPITAL DISTRIBUTIONS (IN $)

	Date	Principal distribution	Capital gain distribution	Interest distribution	Tax distribution	Total
1	August 2024	-	-	138,668	-	138,668

WARRANTS & EQUITY RIGHTS

As of September 30th, 2024

Warrants

COMPANY	# OF WARRANTS	EXERCISE PRICE ($ Per Unit)	FAIR MARKET VALUE ($ Per Unit)	ASSET VALUE ($)
Viably	1,852,946	0.43	0.32	575,406
Two	764	457.39	263.3	201,034
PayZen	42,343	2.05	2.4	100,542
Finmid	288	1,017.8	1,249.0	359,502
Oatfi	90,620	1.1	2.2	202,521

PORTFOLIO SUMMARY

As of September 30th, 2024

Borrower Name	Close Date	ALF III (B) Allocation Amount	ALF III (B) Drawn Amount (Utilized)
Hokodo	Mar-24 *	€ 14,000,000	€ 10,029,371
Viably	Oct-23 *	$ 8,000,000	$ 3,125,257
PayZen	Jun-24	$ 9,144,477	$6,202,363
Two	Nov-23 *	€ 9,600,000	€ 3,768,976
Finmid	Dec-23*	€ 16,800,000	€ 7,703,628
Lendbuzz 2024-2 Forward Flow	Mar-24	$ 16,000,000	$ 4,816,206
Funding Circle Forward Flow	Mar-24	£ 6,400,000	£ 1,663,750
Oatfi	Aug-24	$ 14,000,000	$ 6,720,000
Prospa NZ	Aug-24	NZ$ 37,440,000	NZ$ 32,640,000

* Transactions executed and warehoused prior to the first close of ALF III and allocated upon initial closing.

Viola Credit ALF III (B)

Combined Interim Financial Statements
as of
September 30, 2024
(Unaudited)

Combined Financial Statements as of September 30, 2024

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Auditors' Report to the Partners of Viola Credit ALF III (B)

Results of Review of Combined Interim Financial Information

We have reviewed the accompanying combined financial information of Viola Credit ALF III (B) ("the Fund") comprising of the interim statement of Assets, Liabilities and Partners' Capital including the schedule of investments, as of September 30, 2024, the interim statement of operations, changes in Partners' Capital and statement of Cash Flows for the period from April 18, 2024 (commencement of operations) through September 30, 2024. These financial statements are the responsibility of the Fund's management.

We conducted our review in accordance with standards established by the American Institute of Certified Public Accountants. A review of interim financial information consists principally of applying analytical procedures to financial data and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with generally accepted auditing standards, the objective of which is the expression of an opinion regarding the financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying combined financial information in order for them to be in conformity with generally accepted accounting principles in the United States of America.

Somekh Chaikin
Certified Public Accountants (Isr.)
Member Firm of KPMG International

December 02, 2024

Combined Statement of Assets, Liabilities and Partners' Capital
U.S dollars in thousands

	Note	September 30, 2024 Unaudited
Assets		
Portfolio investments at estimated fair value (Cost as of September 30, 2024 - $68,053)	**4**	**69,584**
Cash and cash equivalents		**723**
Account receivables		**670**
Related parties		**6,954**
Total assets		**77,931**
Liabilities and partners' capital		
Current liabilities		
Credit Line		**44,785**
Accounts payable		**408**
Total current liabilities		**45,193**
Long-term liabilities		
Deferred revenue		**1,156**
Finance Derivative		**727**
Total Long-term liabilities		**1,883**
Total liabilities		**47,076**
Partners' capital		
Capital contribution		**29,598**
Offering expenses		**(379)**
Interest distribution		**(139)**
Accumulated gain from operations		**1,775**
Total partners' capital		**30,855**
Total liabilities and partners' capital		**77,931**

December 02, 2024
Date of approval of the financial statements

Viola Credit ALF III GP, L.P.

The accompanying notes are an integral part of the combined interim financial statements.

Combined Schedule of Investments

U.S dollars in thousands

	September 30, 2024		
	Cost	Estimated fair value	% of partners capital
	U.S dollars in thousands (unaudited)		
Viably Capital Inc.			
Utilized credit facility in the amount of $3,125	3,125	3,125	10.13
Warrant to purchase 1,852,946 Preferred A-2 Shares of Viably Capital Inc.	607	575	1.86
Two AS, LLC			
Utilized credit facility in the amount of €3,769	4,085	4,218	13.67
Warrant to purchase 764 Preferred A Shares of TWO AS, LLC	214	201	0.65
PayZen Inc.			
Utilized credit facility in the amount of $6,202	6,202	6,202	20.1
Warrant to purchase 42,343 Preferred A-2 Shares of PayZen Inc.	66	101	0.33
Hokodo Ltd.			
Utilized credit facility in the amount of £1,569	1,976	2,104	6.82
Utilized credit facility in the amount of €8,150	8,830	9,121	29.56
Oat Financial Inc.			
Utilized credit facility in the amount of $6,720	6,720	6,720	21.78
Warrant to purchase 90,620 Seed Preferred Shares of Oat Financial Inc.	158	203	0.66
Finmid GmbH			
Utilized credit facility in the amount of €7,704	8,478	8,622	27.94
Warrant to purchase 288 Seed Shares of Finmid	353	360	1.17
Prospa NZ Limited.			
Utilized credit facility in the amount of NZ$ 32,640	20,254	20,694	67.07
Viola Credit (FC) 2024-I, L.P.			
The Fund portion is 40%	2,169	2,227	7.22
Viola Credit Trust 2024-II			
The Fund portion is 40%	4,816	5,111	16.56
Total	68,053	69,584	225.52
Total loans	59,670	60,806	197.07
Total warrants	1,398	1,440	4.67
Total investments through SPVs	6,985	7,338	23.78
Total	68,053	69,584	225.52

The accompanying notes are an integral part of the combined interim financial statements.

Combined Statement of Income

U.S dollars in thousands

	Note	Period from April 18, 2024 (*) through September 30, 2024 (Unaudited)
Revenues		
Portfolio financial income		**1,350**
Recognition of deferred revenue		**242**
		1,592
Expenses		
Management fees	**3c**	**90**
General, administrative and other expenses		**57**
Financial expenses		**474**
		621
Operating income		**971**
Change in unrealized gain from exchange rate differences		**1,136**
Change in unrealized gain from impairment of investments	**5**	**395**
Change in unrealized loss from derivative instruments		**(727)**
Net gain		**1,775**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined interim financial statements.

Combined Statement of Changes in Partners' Capital

U.S dollars in thousands

	General Partner	Limited Partners	Total
Capital Contributions			
Balance as of April 18, 2024 (*)	-	-	-
Capital contributions	-	29,598	29,598
Balance as of September 30, 2024 (Unaudited)	-	29,598	29,598
Interest distributions			
Balance as of April 18, 2024 (*)	-	-	-
Interest distributions	-	(139)	(139)
Balance as of September 30, 2024 (Unaudited)	-	(139)	(139)
Offering expenses			
Balance as of April 18, 2024 (*)	-	-	-
Offering expenses	-	(379)	(379)
Balance as of September 30, 2024 (Unaudited)	-	(379)	(379)
Accumulated gain from operations:			
Balance as of April 18, 2024 (*)	-	-	-
Operating income	-	971	971
Change in unrealized gain from exchange rate differences	-	1,136	1,136
Change in unrealized gain from impairment of investments	-	395	395
Change in unrealized loss from derivative instruments	-	(727)	(727)
Balance as of September 30, 2024 (Unaudited)	-	1,775	1,775
Total partners' capital as of September 30, 2024 (Unaudited)	-	30,855	30,855

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined interim financial statements.

Combined Statement of Cash Flows

U.S dollars in thousands

	Period from April 18, 2024 (*) through September 30, 2024
	Unaudited
Cash flows from operating activities:	
Net gain	**1,775**
Adjustments to reconcile net gain to net cash used in operating activities:	
Recognition of deferred revenue	**(242)**
Changes in accounts receivables mainly in respect of interest income	**(670)**
Credit facilities drawdowns	**(62,205)**
Repayment of credit facilities	**2,535**
Change in unrealized gain from exchange rate differences	**(1,136)**
Change in unrealized gain on investment	**(395)**
Change in unrealized loss from derivative instruments	**727**
Investments in SPVs (special purpose vehicles)	**(6,985)**
Changes in related parties	**(6,954)**
Changes in accounts payable	**408**
Net cash used in operating activities	**(73,142)**
Cash flows from financing activities:	
Capital contributions	**29,598**
Credit line utilized	**63,475**
Credit line repaid	**(18,690)**
Offering expenses	**(379)**
Interest distribution	**(139)**
Net cash provided by financing activities	**74,865**
Change in cash and cash equivalents	**723**
Cash and cash equivalents at the beginning of the period	**-**
Cash and cash equivalents at the end of the period	**723**
Non-cash information:	
Warrants received in respect of credit lines granted	**1,398**

(*) Date of Commencement of operations.

The accompanying notes are an integral part of the combined interim financial statements.

Note 1 -General

A. Viola Credit ALF III (B) (the "Fund") was formed by Viola Credit ALF III GP, L.P. (the "General Partner") on April 11, 2024 and commenced its operations on April 18, 2024. The Fund and additional entities managed by the General Partner or its affiliates are referred to herein as "Viola Credit". Certain transactions made by Viola Credit prior to the commencement of operations were allocated to the Fund.

B. The Fund is composed of the following limited partnerships (the "Feeders"), as specified below:

- Viola Credit ALF III (2), L.P.
- Viola Credit ALF III (3), L.P. (to be formed prior to the Final Closing, if necessary)
- Viola Credit ALF III (4), L.P.
- VCP Investments, L.P.

C. Investment Policy and Limitations:

The Fund is being organized to invest in opportunities in the specialty lending market, primarily by providing asset-backed, senior-secured debt facilities to finance assets originated by technology companies operating in the specialty finance market with the goal of generating significant current income and capital gains. These facilities are typically backed by cash yielding assets and/or real assets originated by such companies, including, but not limited to, consumer loans, auto-loans, small and medium enterprise loans, corporate trade receivables, lease contracts, real-estate and mortgages. Platforms are expected to mainly operate in developed markets, including North America, Western Europe, the United Kingdom, Australia, and New Zealand.

The Fund may also invest in, and purchase assets originated by origination platforms either directly or indirectly through structures formed by it or by other funding partners.

Such investments are referred to herein as "Portfolio Investments" and such technology companies are referred to collectively as "Originating Platforms".

Portfolio Investments will be primarily senior secured, but may also be subordinated in nature, including second lien, and mezzanine loans.

Such asset-based secured financings shall be provided in return for principal and interest payments and will also include, from time to time, return-enhancing features such as warrants to purchase an equity stake in Originating Platforms (or their affiliates) or limited investment rights to invest in the equity of the applicable Originating Platforms (or their affiliates) (such investments are referred to herein as "Equity Kickers").

The Fund will aim to receive Equity Kickers in selected Originating Platforms and may invest up to 10% of its aggregate capital commitments in Equity Kickers (by the exercise of warrants, and also by convertibles and/or through direct investment).

Note 1 -General (cont'd)

D. Duration of the Fund:

The term of the Fund is seven years from the Final Closing Date. The term of the Fund may be extended for two additional one-year periods, at the sole discretion of the General Partner and for a third one-year period at the sole discretion of the Advisory Committee, as defined in the LPA.

E. Definitions:

Partners -	The General Partner and the limited partners.
General Partner -	Viola Credit ALF III GP, L.P.
LPA -	Limited Partnership Agreement adopted as of the Initial Closing.
Management Partnership -	Viola Credit Partners Management, L.P.
VIOLA CREDIT (FC) 2024-I, L.P.	VIOLA CREDIT (FC) 2024-I, L.P., a special purpose vehicle formed for the sake of purchasing loan receivables from Funding Circle.
Viola Credit Trust 2024-II	Viola Credit Trust 2024-II was formed for the sake of purchasing loan receivables from Lendbuzz Inc. ("Lendbuzz") as seller and servicer.

Note 2 - Significant Accounting Policies

The accompanying financial statements are presented using accounting principles generally accepted in the United States ("U.S. GAAP").

Combined Interim financial information:

The accounting principles used in the preparation of the interim information are consistent with those principles used in the preparation of the annual statements; In the opinion of the General Partner, all adjustments (which include only normally recurring adjustments) necessary to present the financial condition, results of operations, and cash flows at and for the period ending September 30, 2024 have been made. The results of operations for the period ended September 30, 2024 are not necessarily indicative of the operating results for the year ending December 31, 2024.

Note 3 - Limited Partnership Agreement

The information below highlights certain terms from the amended and restated limited partnership agreement of the Fund ("LPA") from April 11, 2024. The full and comprehensive terms of the Fund can be found in the LPA.

A. Allocations of income, net gain or loss:

All allocations of income, gain, loss, deduction and items thereof shall be made as follow:

1. Any remaining Net Gain or Net Loss of the Partnership for any fiscal period shall be allocated among the Partners in such proportions and in such amounts as may be necessary so that following such allocations, the Adjusted Capital Account balance of each Partner equals such Partner's then Target Balance as defined in the LPA.

2. If the amount of Net Gain or Net Losses allocable to the Partners for a period is insufficient to allow the Adjusted Capital Account balance of each Partner to equal such Partner's Target Balance, such Net Gain or Net Losses shall be allocated among the Partners in such a manner as to decrease the differences between the Partners' respective Adjusted Capital Account balances and their respective Target Balances in proportion to such differences.

3. The General Partner shall, to the greatest extent possible, allocate specific items of income, gain, loss or expense to the Partner or Partners intended to receive the benefit or bear the burden of such items under the LPA, as determined by the General Partner.

B. Distributions:

Distribution shall be allocated to all Partners, in proportion to their respective contributions, subject to the discretion of the General Partner, as follows:

1. First, 100% to each Limited partner until the cumulative amount distributed to such Limited Partner is equal to such Limited Partner's contributions;

2. Second, 100% shall be distributed to each Limited Partner until such Limited Partner shall have realized, solely in respect of its funded contributions, an internal rate of return of 7% per annum, compounded annually on such Limited Partner's unreturned contribution amount;

3. Third, 100% shall be distributed to the General Partner until the General Partner shall have received with respect to each Partner an amount equal to 15% of the sum of the (a) aggregate amount distributed to such Partner pursuant to section (2) above, and (b) the aggregate amount distributed to the General Partner pursuant to this section (3); and

4. Thereafter, 85% to Limited Partners and 15% to the General Partner.

Note 3 - Limited Partnership Agreement (cont'd)

C. Management Fees:

According to the LPA, the Fund shall pay the General Partner, or the Management Partnership, a management fee (the "Management Fee") for the investment advice to be provided to the Fund, commencing upon the Initial Closing Date, at a rate equal to 1.5% per annum of the Invested Capital. "Invested Capital" shall mean an amount equal to the aggregate Contributions less amounts distributed to the Partners (other than distributions of interest, profits or gains), and less the cost basis of investments which were written off.

Note 4 - Portfolio Investments

Investments signed prior to the Fund's commencement of operations were warehoused and allocated to the Fund upon first closing. Allocation of investments may change until the final closing due to a change of total LP commitments of the Fund and parallel funds.

A. **Viably Capital Inc. ("Viably")**

In October 2023, Viola Credit signed a finance agreement with Viably pursuant to which a revolving credit facility of $10,000 was made available to Viably (out of which, the Fund share is $8,000). Viola Credit was also granted future capacity rights of up to $50,000.

At the closing, Viably granted to the Fund a warrant to purchase 1,852,946 Preferred A-2 shares with exercise period of 9 years at an exercise amount of $791.

B. **Two AS, LLC ("Two")**

In September 2023, Viola Credit signed a finance agreement with Two, pursuant to which a revolving credit facility of €30,000 was made available to Two (out of which, the Fund share is €9,600). Viola Credit was also granted future capacity rights of up to € 150,000.

At the closing Two granted to the Fund a warrant to purchase 764 Preferred A shares with exercise period of 5 years at an exercise amount of $349.

C. **PayZen Inc. ("PayZen")**

In June 2024, Viola Credit signed a finance agreement with PayZen pursuant to which a revolving credit facility of $75,000 was made available to PayZen (out of which, the Fund share is $9,144). Viola Credit was also granted future capacity rights of up to $ 200,000.

At the closing, PayZen granted to the Fund a warrant to purchase 42,343 Preferred A-2 shares with exercise period of 9 years at an exercise amount of $87.

Note 4 - Portfolio Investments (cont'd)

D. Hokodo Ltd. ("Hokodo")

In March 2024, Viola Credit signed a finance agreement with Hokodo pursuant to which revolving credit facility of € 25,000 was made available to Hokodo (out of which, the Fund share is €14,000). was made available to the company. Viola Credit was also granted future capacity rights of up to € 100,000.

According to the agreement, Hokodo can draw amounts both in EUR and GBP.

E. Oat Financial Inc. ("OatFi")

In August 2024, Viola Credit signed a finance agreement with OatFi pursuant to which a revolving credit facility of $25,000 was made available to OatFi (out of which, the Fund share is $14,000). Viola Credit was also granted future capacity rights of up to $100,000.

At the closing, OatFi granted to the Fund a warrant to purchase 90,620 Seed Preferred Shares with exercise period of 9 years at an exercise amount of $98.

F. Finmid GmbH ("Finmid")

In August 2024, Viola Credit signed a finance agreement with Finmid pursuant to which revolving credit facility of € 30,000 was made available to Finmid (out of which, the Fund share is €16,800). Viola Credit was also granted future capacity rights of up to € 50,000.

At the closing, Finmid granted to the Fund a warrant to purchase 288 Seed Shares with exercise period of 9 years at an exercise amount of $293.

G. Prospa NZ Limited. ("Prospa")

In August 2024, Viola Credit signed a finance agreement with Prospa pursuant to which revolving credit facility of NZ$ 156,000 was made available to Prospa (out of which, the Fund share is NZ$ 37,440).

H. Viola Credit (FC) 2024-I, L.P. ("SPV (FC)")

SPV (FC) is a special purpose vehicle, formed pursuant to an agreement between the Fund and a group of investors, for the sake of purchasing up to £50 million of loan receivables from Funding Circle Ltd. ("Funding Circle") as seller and servicer.

In May 2024, the SPV (FC) signed an initial loan receivables purchase agreement with Funding Circle for a total amount of £50 million. The total transaction amount with Funding Circle is £200 million, including £150 million from Deutsche bank AG.

As of September 30, 2024, the Fund holds 40% of the SPV (FC) (£6,400).

As of September 30, 2024, the Fund transferred to SPV (FC) a capital contribution in the amount of £1,664 ($ 2,169). Therefore, the net invested amount is $ 2,169.

Note 4 - Portfolio Investments (cont'd)

I. Viola Credit Trust 2024-II ("Trust 2024-II")

In July 2024, the Fund with additional investors formed Viola Credit Trust 2024-II ("the Trust 2024-II"). The Trust 2024-II was formed for the sake of purchasing up to $ 200 million of loan receivables from Lendbuzz Inc. ("Lendbuzz") as seller and servicer.

The Trust 2024-II signed a finance agreement with JP Morgan bank securing a senior financing line of $140 million.

The Fund holds 40% of the Trust 2024-II.

J. Fair value measurements

The Fund adopted ASC Topic 820, which among other things, requires enhanced disclosures about investments that are measured and reported at fair value. ASC Topic 820 establishes a hierarchal disclosure framework which prioritizes and ranks the level of market price observability used in measuring investments at fair value. Market price observability is impacted by a number of factors, including the type of investment and the characteristics specific to the investment. Investments with readily available active quoted prices or for which fair value can be measured from actively quoted prices generally will have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.
Investments measured and reported at fair value are classified and disclosed in one of the following categories:

Level I – Quoted prices are available in active markets for identical investments as of the reporting date. The type of investments included in Level I include listed equities. As required by ASC Topic 820, the Fund does not adjust the quoted price for these investments, even in situations where the Fund holds a large position and a sale could reasonably impact the quoted price.

Level II – Pricing inputs are other than quoted prices in active markets, which are either directly or indirectly observable as of the reporting date, and fair value is determined through the use of models or other valuation methodologies. Investments which are generally included in this category include corporate bonds and loans, less liquid and restricted equity securities and certain over-the-counter derivatives.

Level III – Pricing inputs are unobservable for the investment and includes situations where there is little, if any, market activity for the investment. The inputs into the determination of fair value require significant management judgment or estimation. Investments that are included in this category generally include general and limited Fund interests in a corporate private equity.

Note 4 - Portfolio Investments (cont'd)

J. Fair value measurements (cont'd)

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Fund's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. The Fund's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

The following table summarizes the Fund`s portfolio investments that were accounted for at fair value by Level 3 within the fair value hierarchy of ASC 820:

	Level 3 USD thousands
Fair value as of April 18, 2024 (*)	-
Warrants received in respect of credit lines granted	**1,398**
Credit facilities drawdowns	**62,205**
Repayment of credit facilities	**(2,535)**
Investments in SPVs, net	**6,985**
Change in unrealized gain from exchange rate differences	**1,136**
Change in unrealized gain on investment	**395**
Fair value as of September 30, 2024 (unaudited)	**69,584**

As of September 30, 2024, the Fund's portfolio investments do not include any investments that can be accounted for at fair value by Level 1 or Level 2 within the fair value hierarchy of ASC 820.

(*) Date of Commencement of operations.

Note 4 - Portfolio Investments (cont'd)

K. Active Credit facility

Company	Credit facility	Utilized net amount	Interest rate
Viably	$ 8,000	$ 3,125	Annual interest rate equal to SOFR + 9.5% with minimum rate of 12%
Two	€ 9,600	€ 3,769	Annual interest rate equal to €STR + 7.7%
PayZen	$ 9,144	$ 6,202	Annual interest rate equal to SOFR + 6.5% with minimum rate of 9.5%
Hokodo	€ 14,000	£ 1,569	Annual interest rate equal to SONIA + 7.75% with minimum rate of 9.75%
Hokodo		€ 8,150	Annual interest rate equal to EURIBOR + 7.75% with minimum rate of 9.75%
OatFi	$ 14,000	$ 6,720	Annual interest rate equal to SOFR + 8.75% with minimum rate of 12%
Prospa	NZ$ 37,440	NZ$ 32,640	Annual interest rate equal to BKBM + 6.75% with minimum rate of 7%
Finmid	€ 16,800	€ 7,704	Annual interest rate equal to €STR + 8.5% with minimum rate of 11.5%

L. Indirect facilities through SPVs *):

Company	Credit facility	Utilized net amount
Funding Circle (through SPV (FC))	£6,400	£ 1,664
Lendbuzz (through Trust 2024-II)	$ 16,000	$ 4,816

*) Multiplied by the fund portion.

Note 4 - Portfolio Investments (cont'd)

M. Foreign currency exposure:

	GBP	EUR	NZD
Foreign exchange rate 30/09/2024	1.341	1.119	0.634

Currencies exposure:

	USD	GBP	EUR	NZD
Portfolio investments	20,864	3,233	19,622	32,640

Note 5 - Unrealized Gain (Loss) from Investments

	Period from April 14, 2024 (*) through September 30, 2024
	Unaudited
Viably	(32)
Two	(13)
PayZen	35
OatFi	45
Finmid	7
SPV (FC)	58
Trust 2024-II	295
	395

Note 6 - Partners' Capital

As of September 30, 2024 the net capital contribution to the Fund is $29,598, representing net utilization of 25%.

Note 7 - Credit Line Received

In May 2024, the Fund signed a credit agreement with Valley Bank (the "**Subscription Line**") according to which $ 35,000 were made available to the Fund. Outstanding amounts under the Subscription Line shall bear an interest rate equal to Prime rate minus 0.5% and no less than 5.5%. The Fund intends to use this line of credit to bridge capital calls from investors and to provide collateral to Valley Bank against negative fair value of financial derivatives (if any).

In September 2024, the Fund signed an amendment to the Subscription Line, in which the facility amount was increased to $ 50,000.

VIOLA CREDIT

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